

Stock Analysis Report: BBRI

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Overall Verdict: YES

BBRI presents a compelling value opportunity with undervalued metrics and an exceptional dividend yield that outweighs temporary cash flow fluctuations and market sentiment weakness.

Valuation

Summary: undervalued

Reason: The stock trades at a PE ratio significantly below the market median and a PEG ratio under 1, indicating growth is not fully priced in while the high dividend yield suggests the market is overly pessimistic about future earnings stability.

Per Share

Summary: good

Reason: Earnings per share remain robust supporting the dividend payout, although negative free cash flow per share indicates heavy reinvestment or lending expansion that needs monitoring for liquidity health.

Solvency

Summary: good

Reason: Low debt-to-equity ratios demonstrate a strong capital buffer against risks, while the higher liabilities-to-equity is consistent with standard banking leverage models used to generate returns.

Management Effectiveness

Summary: good

Reason: Return on Equity exceeds 17% which signals efficient capital allocation and strong management execution in generating profits from shareholder equity.

Profitability

Summary: good

Reason: Net profit margins near 30% are healthy for the financial sector and indicate strong pricing power and effective cost management within operations.

Growth

Summary: good

Reason: Double-digit net income growth shows expanding profitability even with moderate revenue growth, suggesting operational leverage and improved efficiency in core business lines.

Dividend

Summary: good

Reason: An double-digit dividend yield provides excellent income potential and downside protection, though the high payout ratio requires consistent earnings to remain sustainable long-term.

Income Statement

Summary: good

Reason: Strong top-line revenue and substantial net income figures confirm the core business is generating significant profits despite macroeconomic headwinds affecting the broader market.

Balance Sheet

Summary: good

Reason: A solid equity base supports the large asset structure typical of major banks, ensuring stability and capacity to absorb potential loan losses or economic shocks.

Cash Flow

Summary: bad

Reason: Negative operating and free cash flow is a concern that suggests aggressive lending growth or funding timing issues that could strain liquidity if not managed carefully in future quarters.

Performance

Summary: bad

Reason: Significant price declines across all timeframes reflect negative market sentiment and technical weakness, creating a contrarian buying opportunity for value-focused investors.

Price Action

Metric	Value
Current Price	2990.0
Fair Value	3350.0
Support 1	2980.0
Support 2	2900.0
Resistance 1	3150.0
Resistance 2	3270.0

Overall Summary

BBRI is a fundamentally strong bank trading at a discount with high income potential, making it a good buy for long-term investors despite short-term technical weakness and cash flow concerns.